

Economics

Higher level

Paper 3 – Mark Scheme

SME Predicted Paper – Advanced

General marking guidance:

- Award marks for correct final answers AND for correct working. Accept alternative valid methods.
- Numerical answers should be given exactly or to 2 decimal places unless otherwise specified.
- For explanations, award marks for each distinct correct point up to the maximum.
- Reward fully and correctly labelled diagrams. Unlabelled or inaccurate diagrams receive partial credit only.
- Accept valid alternative economic reasoning where the logic is consistent.
- For read-off-the-graph answers, accept any value within a reasonable band around the intended figure.

Question 1 [30 marks]**Q1 (a) (i) — Define monopoly [2]**

1 mark: A market structure in which a single firm supplies the entire market (or has an overwhelmingly dominant share).

1 mark: The firm is a price-maker facing the market demand curve, protected by significant barriers to entry (e.g. patents, economies of scale).

Q1 (ii) — Firm C's profit-maximising output [1]

Q = 40 million doses (where MC = MR in Figure 1).

Q1 (iii) — Abnormal profit at (a)(ii) [2]

1 mark: Correct method: Profit = $(P - AC) \times Q$, with P read up from Q = 40m to the AR curve.

1 mark: At Q = 40m, P = \$80, AC ≈ \$33.80 (read from Figure 1). Profit = $(\$80 - \$33.80) \times 40,000,000 = \$1,848 \text{ million} \approx \1.85 billion . Accept \$1.7–\$2.0 bn with valid working.

Q1 (iv) — Allocatively efficient output [2]

1 mark: Allocative efficiency occurs where P (AR) = MC.

1 mark: From Figure 1: AR = MC (\$40) at Q ≈ 80 million doses.

Q1 (v) — Price discrimination increases total revenue [4]

1 mark: Correctly labelled two-market (high-income / low-income) price-discrimination diagram plus combined MC = MR condition.

1 mark: $MR_1 = MR_2 = MC$ across markets.

1 mark: Higher price charged in the inelastic high-income market (\$120) and lower price in the more elastic low-income market (\$18), explained via elasticity logic.

1 mark: Shows/explains conversion of consumer surplus to producer surplus; total revenue rises because each market is priced according to its elasticity.

Q1 (vi) — One characteristic of common pool resources [1]

1 mark: Any one valid characteristic (rivalrous but non-excludable; subject to depletion / tragedy of the commons; ill-defined property rights).

Q1 (vii) — Combined total revenue 2023 [2]

1 mark: Correct method: $TR = \sum (P_i \times Q_i)$.

1 mark: $22,000,000 \times \$120 + 45,000,000 \times \$18 = \$2,640,000,000 + \$810,000,000 = \$3,450,000,000 = \3.45 billion .

Q1 (viii) — Monopoly welfare loss (DWL) [4]

1 mark: Correctly drawn welfare-analysis diagram (P, Q; AR; MR; MC; AC).

1 mark: Monopoly output $Q_m = 40m$ at P = \$80 (from Figure 1).

1 mark: Allocatively efficient output $Q_c \approx 80m$ where AR = MC (\$40).

1 mark: Deadweight-loss triangle bounded by AR above, MC below, between Q_m and Q_c identified and shaded — represents the loss of total surplus due to monopoly pricing.

Q1 (ix) — US indirect tax revenue 2023 [2]

1 mark: Correct method: tax revenue = tax per unit × units.

1 mark: $\$5 \times 22,000,000 = \$110,000,000 = \$110 \text{ million}$.

Q1 (b) — Access to medicines while preserving innovation [10]

Level descriptors:

0 marks — No appropriate response.

1–3 marks (Level 1) — Little understanding; little use of terminology; no/incorrect links to data; policy identified but not meaningfully explained or evaluated.

4–6 marks (Level 2) — Some understanding; some relevant economic theory; some reference to data; policy explained but evaluation is limited and may lack balance.

7–8 marks (Level 3) — Clear understanding; accurate use of terminology; good use of data; policy well explained and reasonably evaluated; some balance.

9–10 marks (Level 4) — Thorough understanding; strong use of terminology, theory and diagrams; effective integration of data; policy fully explained, evaluated in balance (costs vs benefits, short- vs long-run, stakeholders), with a supported conclusion.

Indicative policies: compulsory licensing under TRIPS flexibilities; tiered/differential pricing; advance market commitments; public R&D subsidies and innovation prizes; price caps paired with reimbursement reform; parallel importing; generic substitution post-patent; international pooled procurement.

Evaluation: trade-off between static efficiency (lower prices / greater access) and dynamic efficiency (R&D incentives); equity across countries; enforceability; effect on FDI in pharma; strategic gaming by firms.

Question 2 [30 marks]**Q2 (a) (i) — Real GDP 2023 [2]**

1 mark: Correct method: $\text{Real GDP} = (\text{Nominal GDP} / \text{GDP Deflator}) \times 100$.

1 mark: $(165.0 / 210.0) \times 100 = \text{ARS } 78.57 \text{ trillion}$.

Q2 (ii) — % change real GDP, 2022–2023 [2]

1 mark: Correct method: $(\text{Real GDP}_2 - \text{Real GDP}_1) / \text{Real GDP}_1 \times 100$.

1 mark: $(78.57 - 72.00) / 72.00 \times 100 = +9.13\%$.

Q2 (iii) — Define hyperinflation [2]

1 mark: Extremely high and typically accelerating inflation.

1 mark: A common (Cagan) threshold is an inflation rate above 50% per month; accept any similarly extreme definition.

Q2 (iv) — One cause of high Argentine inflation [2]

1 mark: Identify a valid cause (e.g. persistent monetary financing of fiscal deficits; sharp peso depreciation → imported cost-push; loss of central-bank credibility / unanchored expectations).

1 mark: Brief explanation of the transmission mechanism.

Q2 (v) — Two reasons for peso depreciation [4]

2 × 2 marks (identification + explanation). Accept any two of:

- Persistent current account deficit → excess supply of pesos on FX market.
- Sharp inflation differential relative to trading partners.
- Loss of confidence / capital flight; demand for pesos falls.
- Limited FX reserves constraining central-bank intervention.
- Sovereign-debt concerns and default risk.

Exchange-rate diagram with correctly labelled axes and shifts producing a lower ARS/\$ supports full marks.

Q2 (vi) — Current account balance 2023 [2]

1 mark: Correct method: $\text{CA} = (\text{Xg} - \text{Mg}) + (\text{Xs} - \text{Ms}) + \text{NPI} + \text{NSI}$.

1 mark: $(66.8 - 73.7) + (14.2 - 20.6) + (-17.2) + 0.9 = -6.9 - 6.4 - 17.2 + 0.9 = -\29.6 billion .

Q2 (vii) — AD/AS, two implications of currency depreciation [4]

1 mark: Correctly labelled AD/AS diagram.

1 mark: Implication 1 — cheaper exports/more expensive imports shift AD rightward → higher real GDP and higher price level (demand-pull).

1 mark: Implication 2 — higher cost of imported inputs shifts SRAS leftward → higher price level and lower real GDP (cost-push).

1 mark: Net outcome — unambiguously higher price level; effect on real GDP depends on the relative size of the two shifts.

Q2 (viii) — Macroeconomic instability as a barrier [2]

1 mark: Identify the channel (reduced investment due to uncertainty; capital flight; higher risk premium on borrowing; erosion of real incomes).

1 mark: Link to lower long-run growth or weaker development outcomes.

Q2 (b) — Policy mix: inflation + current account deficit [10]

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9–10 marks (Level 4) — Thorough understanding; strong use of terminology, theory and diagrams; effective integration of data; policy fully explained, evaluated in balance (costs vs benefits, short- vs long-run, stakeholders), with a supported conclusion.

Indicative policy mix: contractionary monetary policy combined with tight fiscal policy (reduce deficit financing); credible exchange-rate regime (currency board, managed peg, or full dollarisation); IMF-backed reform programme; structural reforms (price-control removal, fiscal rules, central-bank independence, trade reform to boost exports).

Evaluation: trade-off between lower inflation and recession/unemployment; social cost of austerity; distributional effects; credibility problem (Argentina's track record); sequencing of reforms; role of external financing; dollarisation as a radical option.